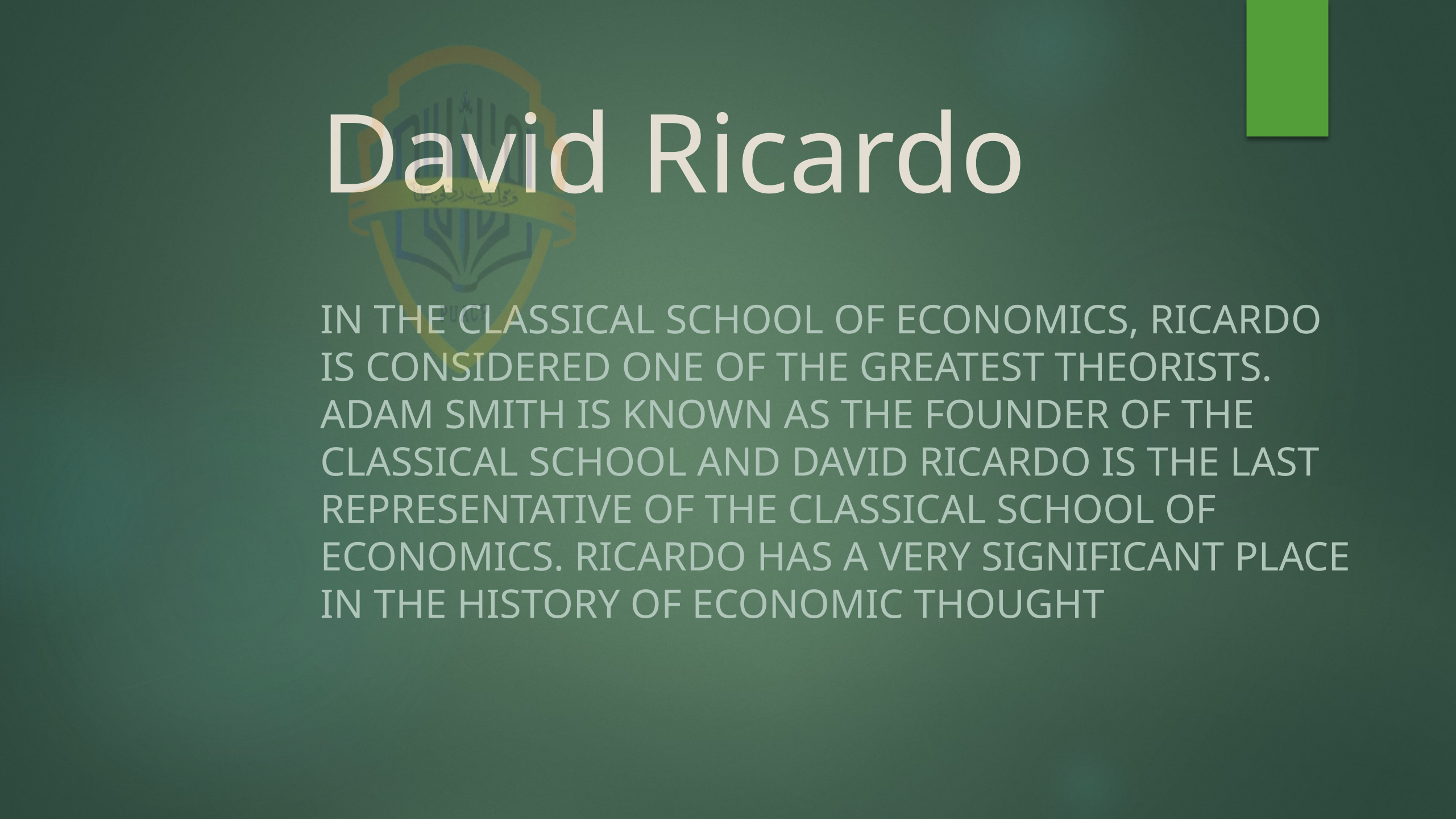




David Ricardo

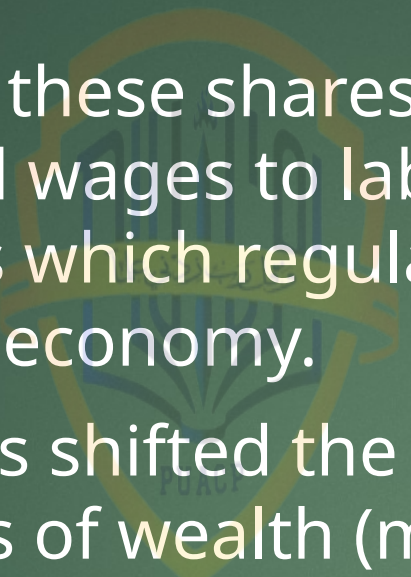
IN THE CLASSICAL SCHOOL OF ECONOMICS, RICARDO IS CONSIDERED ONE OF THE GREATEST THEORISTS. ADAM SMITH IS KNOWN AS THE FOUNDER OF THE CLASSICAL SCHOOL AND DAVID RICARDO IS THE LAST REPRESENTATIVE OF THE CLASSICAL SCHOOL OF ECONOMICS. RICARDO HAS A VERY SIGNIFICANT PLACE IN THE HISTORY OF ECONOMIC THOUGHT

David Ricardo's main works:

- ▶ Principles of Political Economy was published in 1810.
- ▶ His first pamphlet The high price of Bullion: A proof of depreciation of Bank Notes was published in 1800,
- ▶ An Essay on the Influence of a Low Price of Corn on the profits of Stock was published in 1815.
- ▶ Proposal for an Economical and Secure Currency was published in 1816.
- ▶ □ First edition of On the Principle of Political Economy and Taxation appeared in 1817.
- ▶ The second edition of On the Principle of Political Economy and Taxation was published in 1819.
- ▶ On Protection to Agriculture was written in 1822.
- ▶ Plan for the Establishment of National Bank, his last work, was published in 1823 after his death.

The Principle of Political Economy and Taxation

- ▶ Ricardo believed that political economy was an enquiry into the law which determined the division of the produce of industry among the classes who contribute to its formation.
- ▶ Ricardo was mainly concerned with the study of the problems of distribution and their solutions. In the preface of his book, *On the Principles of Political Economy and Taxation*, Ricardo said, that "To determine the laws which regulate this distribution, is the major problem in Political Economy."
- ▶ According to him, the produce of the earth is the return of the united application of labour, machinery and capital. This produce should be divided among the land, the owner of the stock of capital necessary for its cultivation and labour by whose industry it is cultivated.

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- ▶ He named these shares respectively as rent to land, profit to capital and wages to labour. He declared that the determination of the laws which regulate their proportion is the major problem in political economy.
 - ▶ Ricardo has shifted the emphasis from investigating the nature and causes of wealth (manufacture/production) to its distribution. According to Eric Roll, "The main achievement of Ricardo is to be found in the theory of value and distribution"

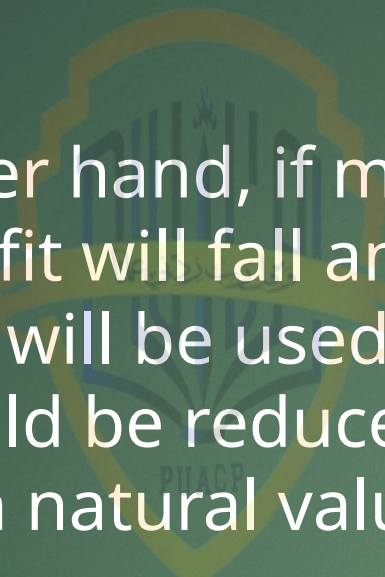
Value

- ▶ Ricardian theory of value is basically a labour theory of value. Ricardo was not concerned with absolute values but with relative value. He says that although the employment of capital does not affect relative value, the difference in the proportion of fixed and circulating capital in different industries affects relative value
- ▶ Ricardo has recognised two forms of value like Adam Smith, (i) Value-in Use (ii) Value-in –Exchange. He says that “utility is not the measure of exchangeable value although absolutely essential to it.” He points out that for a commodity to have a value of exchange, it must have utility

- ▶ According to Ricardo, the value of commodity depends upon two things. (i) scarcity, and (ii) labour cost (quantity of labour required to obtain them).
- ▶ Ricardo assumed that there are some commodities, the value of which is determined by scarcity alone. Quantity of these commodities cannot be increased by labour and therefore their value cannot be lowered by an increase in supply
- ▶ Rare pictures and statues, scarce books and coins belong to this category. In fact, he considered such commodities so limited in number that he has not given any consideration to them.
- ▶ For the valuation, he has considered the commodities of the second group. He therefore, holds that all such reproducible commodities are exchanged for each other in proportion to the amount of factor inputs (labour) required to obtain them.

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- ▶ Ricardo was aware that labour was not of uniform quality and that different types of labour were paid at a different rate in the market. According to Ricardo, the value of labour is the only factor which causes variation in the ratio of goods exchanged for each other
 - ▶ Adam Smith applied labour theory of value to early stage of society. In the early stage, the value of these commodities depends almost exclusively on the comparative quantity of labour expended on each.
 - ▶ Ricardo said that the relative labour inputs not only determined relative values in a primitive society, but also in a modern society having land and capital as factors of production in addition to labour. In fact he believed that labour was the foundation of value in all stages of society

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- ▶ He divided the value into two parts-
 - ▶ (i) natural value and (ii) market value.
 - ▶ By natural value he means the point around which market value fluctuates and ultimately tends to equalize with it. The natural value is the long-term tendency. He has not been able to give an accurate and clear definition of natural value.
 - ▶ Market value is actual short-term manifestation. Market value may deviate from the natural value because of temporary fluctuations of demand and supply.
 - ▶ According to him, the deviation of market value is not permanent, it is only accidental. If Market Price rises above the normal (value) price, profit will rise and more capital will be used to produce the commodity.

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- ▶ On the other hand, if market value falls below the normal price (value), profit will fall and capital will not be used to produce or less capital will be used to produce the commodity. Thus the supply would be reduced tending to bring the market value in accord with natural value.
 - ▶ In other words, in the short-run, price depends on demand and supply and in the long-run, price of commodities depends upon the production cost. And the relative cost of production of two commodities is proportional to the respective amount of labour necessary to produce those commodities.

- ▶ The labour theory of value or the cost of production theory of value has been criticised on the following grounds: (i) There is difficulty in measuring labour cost of production. Of course, Adam Smith used time as the measuring rod but all of the labour is not equally efficient, some are more efficient than others. The less skilled may take longer than the skilled over a particular piece of work and so put more labour into it. (ii) Labour may be misdirected. Misdirected labour does not count as labour. So in order to get over the problem, Marx defined the amount of labour required as "Socially necessary labour". (iii) Influence of demand is not considered in the labour theory of value which is the main weakness of the value theory.
- ▶ In fact, the labour theory of value became a powerful means in the hands of Karl Marx to disclose that there was exploitation of labour in a capitalist economy. Marx found that the value of commodity depended on the amount of labour required for its production.

The Theory of Distribution

- ▶ Ricardo considered distribution as the problem for political economy to analyze.
- ▶ His chief contribution lies in furthering the investigation of distribution problem and in his effort to correlate the theory of distribution with the theory of value, he was the first to make a scientific attempt to analyze the problem of distribution.
- ▶ He devotes his main attention to factorial distribution and frame laws which determine the share of different factors (share of wage, profit and rent) which contribute to the national income in a comprehensive manner

- ▶ His greatest significance lies in the fact that his theory of distribution turned out to be the focal point of future development in economic theory.
- ▶ He has summed up the scheme of distribution in the following words, "Profit depends on high price or low wages, wages on the price of necessaries, and price of necessaries chiefly on the price of food."
- ▶ The exchange value of food is determined by its cost of production in terms of labor.
- ▶ *In the long run, wages tend to equal the exchange value of food and rates of exchange are equalized by competition. The remainder of the marginal product goes as profit, the rate of which, is also equalized by competition. It is in the more productive lands that rent arises.*

Theory of Rent:

- ▶ At the time when Ricardo formulated his theory of rent, rent was an important subject in England. Ricardo's whole theory of distribution is very closely bound with land as a factor of production and rent is the income which goes to it.
- ▶ In his doctrine of rent, Ricardo has made use chiefly of the law of diminishing returns in agriculture. Rent can be divided into two phases, (i) Cultivation of Lands of Inferior Quality or Extensive Cultivation, (ii) Low Diminishing Return and Intensive Cultivation.

- ▶ According to Ricardo, "rent is that portion of produce of the earth which is paid to the landlord for the use of original and indestructible power of the soil." He has not included any payment received by the landlord for the capital invested in or on his land i.e. on building, drain, hedges, fence, fertiliser etc. in this category.
- ▶ The main reason why Ricardo used the term rent in such a restricted manner is that he stated that land is not unlimited, it is available in limited quantity and is non-uniform in quality.
- ▶ Due to an increase in population, land which is less advantageously situated or is of an inferior quality is called into cultivation and rent is however, paid for the use of it.
- ▶ When land of an inferior degree of fertility has been brought under cultivation, rent immediately commences on that of the first quality land and the amount of that rent will depend upon the difference in the quality of these two portions of land

- ▶ Ricardo explained his theory of land with the help of a hypothetical example of colonisation. Suppose some people go to a new country and settle down there. They will cultivate all the best lands available at the first time of the first settlement so no rent will be paid for the use of land. Suppose another batch of people go and settle down in this new country after some time. Naturally the demand for agricultural produce will increase, so the second degree lands will have to be cultivated in order to meet the needs of the growing population.
- ▶ As population goes on increasing, less fertile land will come into cultivation and it is at this point that rent will be paid on the most fertile land. The amount of rent will be determined by the difference in the quality of the two lands. The land that is just able to meet its expenses of production is known as a non-rent or marginal land. Rent is thus the fertility differential of two lands. In other words, Rent indicates the differential advantage of superior land over the marginal land.

- ▶ As to the question of how rent arises in intensive cultivation:
- ▶ He has explained this in the following words: If there is land No. 2, No. 3, No. 4 or No. 5 or the inferior lands are cultivated, capital can be employed more productively in those lands which are already under cultivation. If we double the quantity of capital, we will find that by doubling the original capital employed on No. 1, the produce will not be doubled, it will not increase by 100 quintal and it may be increased by 70 quintal and by employing same capital on land No. 2, we cant obtain more than land no. 1. The quantity which we obtained from land no 2 will not exceed the quantity that we obtained from land No.1.
- ▶ In such a case, capital will be preferably employed on the old land and will equally create rent, for rent is always the difference between the produce obtained by the employment of two equal quantities of capital and labour.

- ▶ It has been stated that rent arises due to a difference in the fertility levels of land. Besides fertility, rent may also arise on account of situational advantage. Some lands enjoy situational advantage. For example, if land is nearer to the market place the produce of that land reaches the market easily so there will be no transport cost. Thus, the producer save transport cost in such a case. Even if all lands are equally fertile, lands possessing situational advantage command some superiority over other lands. Thus rent arises on account of differences in fertility and in situation.
- ▶ **While discussing the relationship between rent and price, Ricardo has stated that rent does not enter price. According to him, rent is determined by price. Rent is high because the price (of corn) is high. Price is high not because rent is high. Ricardo has come to the conclusion that rent does not enter price because according to him, there are some no-rent lands. But still their produce has a price on the market and rent does not enter price here because of the marginal lands do not get any rent at all.**

Criticism of Ricardian Doctrine of Rent

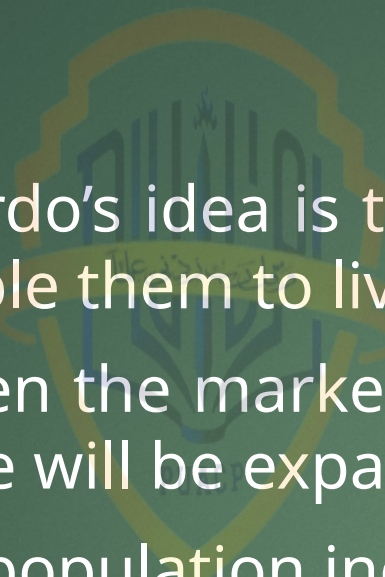
- ▶ Some critics have objection against the order of cultivation described by him. According to him, the most fertile land and most favourably situated lands will be cultivated first. This assertion gives an impression that fertility Material is the only factor which gives rise to rent but this impression is obviously wrong because Ricardo himself said at more places than one that if all lands were equally fertile, there would be no rent.
- ▶ 2. According to Ricardo, the best lands are cultivated first but there is no historical proof of this. Best lands are not always cultivated first.
- ▶ 3. It is assumed that rent is a payment for the use of the original and indestructible power of the soil. But it is difficult to decide which powers of the land are original and which are the result of human action. Fertility of land can be improved by adopting better farming methods and appropriate techniques of production.

- ▶ 4. Ricardo stated that rent is determined by price and that it does not enter price. It has been attacked by many economists.
- ▶ 5. Arthur Young and H.C. Carey have tried to demolish the Ricardian doctrine by saying that owing to the progress of science even the worst lands have been turned into the most fertile ones.
- ▶ 6. Ricardian theory is based on perfect competition. But in the real world imperfect competition is the rule.
- ▶ 7. Ricardo in his theory does not assume rent land. In reality no such land exists, though there may be a marginal land which just covers the cost of producing output.
- ▶ 8. Ricardo over-emphasised the role of diminishing returns. This law will hold good only if other factors including the level of technology are kept constant. But historically improvements in agriculture have resulted in increasing returns per unit labour in the most advanced country

Wages:

- ▶ After explaining the rent and the share of landlord in the national income, Ricardo proceeds to discuss the determination of wages. Wages are the price of labour.
- ▶ Like all other commodities, labour has its natural price (subsistence wage) and market price.
- ▶ According to him, “the natural price of labour is that price which is necessary to enable the labourers, one with another, to subsist and to perpetuate their race, without either increase or decline.”
- ▶ Thus the natural price of labour depends on the price of food, necessaries and conveniences of life required by the labour and his family. If the price of food and necessities rise, wages will rise and when the price of food and necessities fall, wages will fall.

- ▶ The market price of labour is that price which is really paid for it from the natural operation of the proportion of the supply to the demand. The market rate of wages is determined by the forces of demand and supply. If there is an abundant supply of labour, market price of labour will be low and if there is scarcity of labour, market price of labour will rise. Ricardo stated that demand for labour is determined by the amount of capital.
- ▶ He said that the demand for labour will increase in proportion to increase in capital; in proportion to the work to be done will be the demand for those who do it but we must note that market price will fluctuate around the natural price.
- ▶ Ricardo believed that in the long run, both natural and market price of labour and because of the increase in the cost of producing food for increasing population money wages would tend to rise. Improvements in agriculture and import of food grain would lower the cost of living only temporarily. But ultimate money wages will rise in order to meet the increasing cost of food grains.

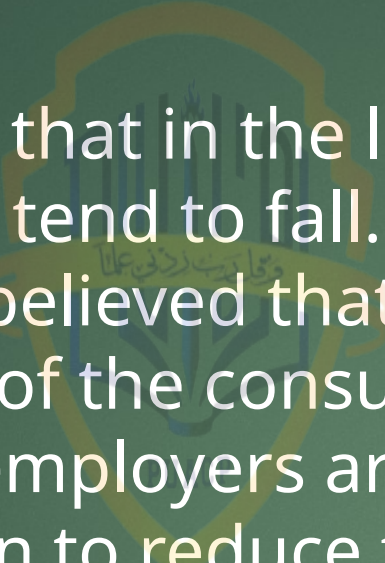
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- ▶ Ricardo's idea is that in the long run, the wages of workers will enable them to live only at a subsistence level of wages.
 - ▶ When the market price of labour rises above the natural price, there will be expansion in the families of the workers
 - ▶ . As population increases, wages will come down to their natural price and when the market price of labour is below the natural price, poverty and misery will reduce the working population and wage rates will rise.
 - ▶ Thus in the long run workers will receive wages at minimum subsistence level.

Profits

Ricardo has not given a clear-cut theory of profit. He has treated profit and interest as one thing. Ricardo has not given a complete discussion of the sources from which profit arise and has not analysed the various components of profit.

According to him, "profit consists of interest and entrepreneur's gain." He treats profit as the residual income received by the entrepreneurs. Ricardo firmly believed that wages increased at the expenses of profit.

In brief, the doctrine can be stated in his own words that profits depend on high and low wages. In other words, whenever there was an increase in wages profit would fall and vice versa. Thus according to Ricardo, wages and profits are diametrically opposed to each other.



Ricardo believed that in the long run money wages would rise and the rate of profit will tend to fall. It may be interesting to note here that though Ricardo believed that “the interest of the landlord is always opposed to that of the consumer and manufacturer.” and the interests of workers and employers are always opposed, he never advocated state intervention to reduce the conflicts of interest.

Ricardo believed that profits must be sufficient to afford an adequate compensation for their trouble and risk, and hence he admits that there must definitely be minimum limit to profits

Money:

- ▶ Ricardo was a practical man. He was concerned about the urgent currency problem of his day. Ricardo wrote on currency problems at a time when the Bank of England introduced inconvertible paper standard and the market price of gold was increasing.
- ▶ Ricardo tried to explain why the market price of gold was rising and suggested that price of gold and other commodities are rising due to printing of Bank Notes or increasing quantity of money in the market.
- ▶ He proposed that the Bank of England should reduce the quantity of Notes in circulation so long as the price of bullion does not come down to its normal level. Ricardo however, did not believe in the complete withdrawal of paper currency

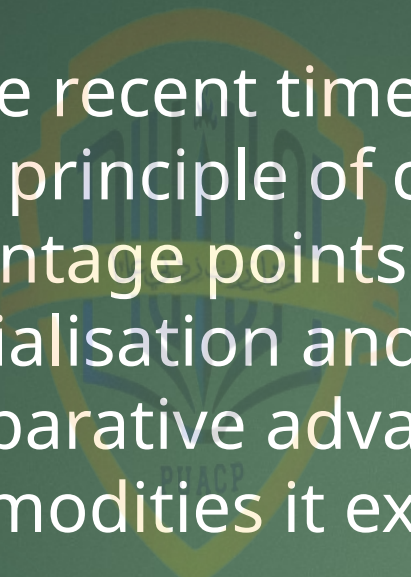
- ▶ In short, he advocated gold bullion standard in which only the Bank Notes would be in circulation which would be convertible into gold bars in larger amounts at a fixed rate. So much was the truth in his arguments that the Bullion Committee accepted his suggestions.
- ▶ Ricardo advocated that Bank of England should restore the gold standard. He believed the gold standard by acting as a check on the over-issue of currency would curb inflation.
- ▶ He also advocated economy in the use of gold and silver. To eliminate the cost of coinage and to economise gold, Ricardo suggested a sort of gold bullion standard.
- ▶ Ricardo's currency reform was adopted by parliament in 1819 and gold standard was introduced in 1921. Gold Standard remained the dominant monetary standard in Britain and many other countries for over a century, except during the major war periods and great financial crisis

international Trade

- ▶ The chief contribution to the science so far as the theory of international trade is concerned “was his discovery of the laws governing the movement of money from one place (country) to another, and the admirable demonstration which he has given us of this remarkable ebb and flow”
- ▶ He explained the working of laws as follows: If a country has an adverse balance of trade, excessive money will be exported and the scarcity of money will be experienced in the country.
- ▶ The scarcity of money will lead to an increase in its value and price will fall, low price will stimulate exports and ultimately the money that was sent abroad will come back. Consequently price will rise, exports will be curtailed and imports will increase, thus leading to exports of money. The cycle will go on.

- ▶ Ricardo thus held the under that automatic operation of the economic forces, the balance of trade will itself come to position of equilibrium.
- ▶ It may be pointed out that this position of equilibrium may not establish so quickly as Ricardo thought. It may take some time before price may rise or fall under the influence of quantity of money.
- ▶ But under the system of foreign exchange, it is necessary to wait until the price responds to the changes in the quantity of money and hence his point appears to be correct.
- ▶ Accordingly money either seldom leaves a country or if it leaves at all, it is only for a short period. He therefore insisted that precious metal for international trade were mere lubricants that neither leave nor stay in any country permanently

- ▶ The theory of comparative cost is the major contribution of Ricardo to the theory of foreign trade. Adam Smith advocated free trade competition in foreign trade and his theory of trade was based on difference in absolute cost. But Ricardo developed the theory of comparative cost.
- ▶ According to Ricardo, "Trade might be taken place of the advantages of both trading countries, even when one of them was more efficient in the production of both commodities exchanged.
- ▶ The theory of comparative cost may be stated as follows:
Under competitive conditions a country tends to specialise in those commodities in the production of which it has greatest comparative advantage.

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- ▶ In the recent times, Benham has stated the law as follows:
“The principle of comparative cost or comparative advantage points out that two countries will gain by specialisation and trade, provided that each has a comparative advantage of lower comparative cost in the commodities it exports.”
 - ▶ Ricardo advocated that an efficient country should export those goods whose comparative cost is the lowest and it should import those goods whose comparative cost is the highest. He advocated free trade policy.
 - ▶ Ricardo believed that under a system of perfectly free commerce, the pursuit of individual advantage is admirably connected with the universal good of the whole.

- ▶ Ricardian theory of comparative cost is based on two fundamental assumptions-
- ▶ □ Ricardo assumed that labour and capital did not flow between countries.
- ▶ □ He assumed the law of constant costs rather than increasing costs as output extended.
- ▶ The theory of comparative cost given by Ricardo has been criticised on the ground that it is based on the labour theory of value. Not only that, the theory is based on the assumption of full-employment.
- ▶ Ricardo provided the foundation stones of socialism. The Ricardian theory of value is the starting point of modern socialism. Marx developed his theory of surplus value only on the basis of the labour theory of value.

Utilitarians

- ▶ Ricardo was associated with the Utilitarian movement, which aimed to maximize happiness or pleasure and minimize suffering or pain. Utilitarians believed that policies and actions should be judged by their consequences in promoting overall well-being. Ricardo's economic theories often aligned with utilitarian principles, particularly in his advocacy for free trade and the efficient allocation of resources.
- ▶ David Ricardo's economic theories were strongly influenced by utilitarian principles, although he himself was not strictly a Utilitarian philosopher in the way figures like Jeremy Bentham or John Stuart Mill were. However, Ricardo's economic ideas were deeply aligned with Utilitarianism in several key ways:

- ▶ **Maximization of Utility:** Utilitarianism posits that the goal of society should be to maximize overall utility, often understood as happiness or well-being. Similarly, Ricardo's economic theories aimed at maximizing overall societal welfare, particularly through the efficient allocation of resources and the promotion of economic growth.
- ▶ **Free Trade and Utility:** Ricardo's advocacy for free trade was rooted in utilitarian principles. He argued that removing barriers to trade would lead to greater overall utility by increasing efficiency, lowering prices for consumers, and expanding opportunities for specialization and exchange. By promoting free trade, Ricardo believed that the greatest good for the greatest number could be achieved.
- ▶ **Distribution of Wealth:** Utilitarians, including Ricardo, were concerned with the distribution of wealth and income in society. Ricardo's labor theory of value, which stated that the value of a good was determined by the amount of labor required to produce it, had implications for understanding the distribution of income between labor and capital. While Ricardo recognized the potential for inequality, he believed that overall societal welfare would be maximized by allowing markets to operate freely.
- ▶ **Policy Implications:** Ricardo's economic theories often led to policy prescriptions aimed at maximizing utility. For example, his opposition to the Corn Laws was motivated by the belief that free trade in grain would lead to lower prices and increased utility for consumers, particularly the working class. Similarly, his analysis of taxation and public finance aimed to identify policies that would minimize distortions and maximize overall welfare.

Napoleon and Politics

- ▶ The Napoleonic Wars, which lasted from 1803 to 1815, profoundly shaped the economic and political landscape of Europe. These wars disrupted trade, strained government finances, and caused widespread social upheaval. Ricardo, as a prominent economist of the time, was acutely aware of the economic consequences of war and sought to understand its impact on trade, production, and government policy.
- ▶ Ricardo lived during a tumultuous period marked by the Napoleonic Wars and significant political upheavals. While he wasn't directly involved in politics, his economic theories had political implications. For instance, his support for free trade clashed with protectionist policies like the Corn Laws, which imposed tariffs on imported grain. His views on economics and trade influenced political debates of his time and continue to shape economic policy discussions today.

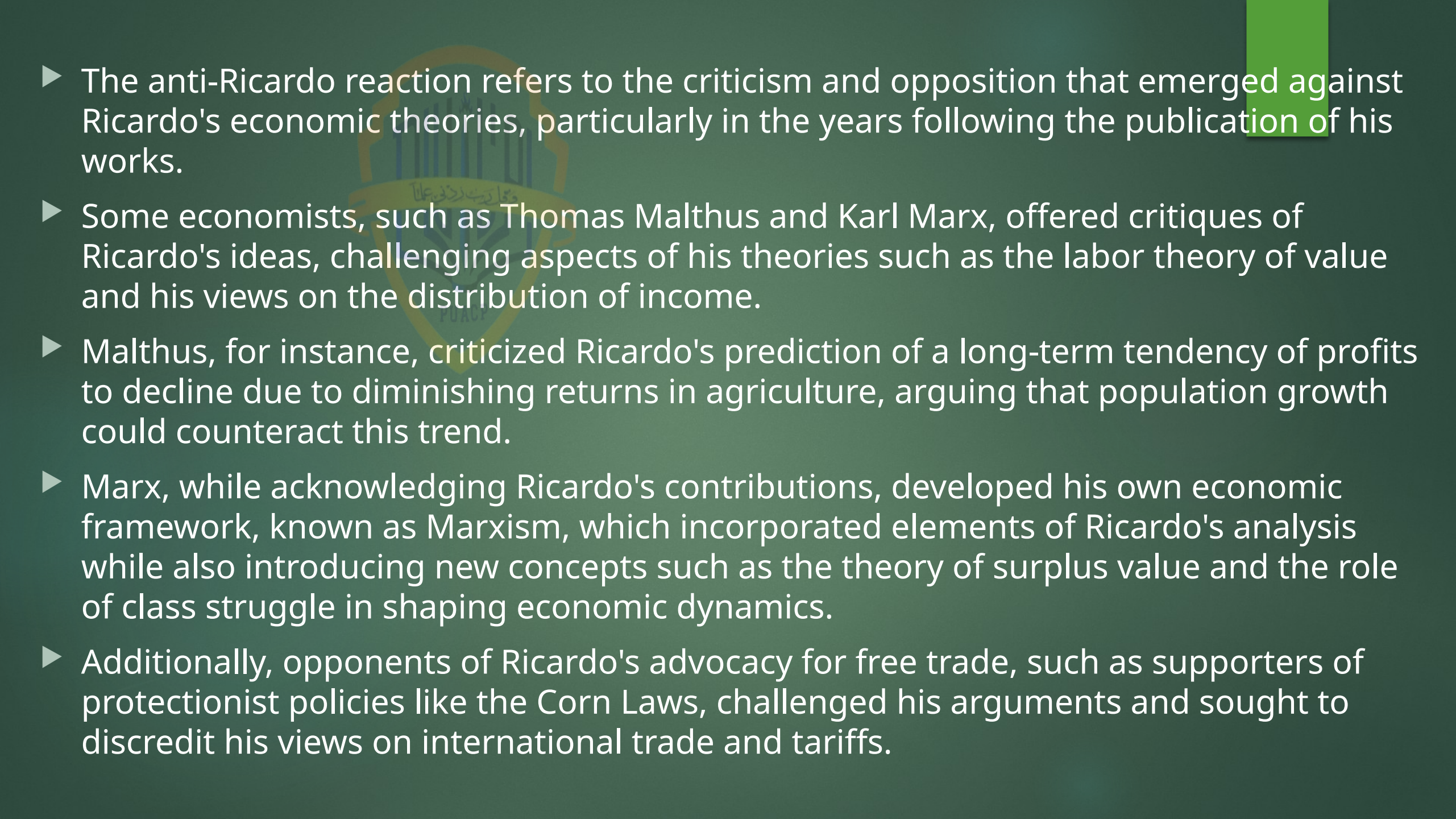
Corn Laws:

- ▶ David Ricardo's views on the Corn Laws were significant and contentious during his time. The Corn Laws were a series of British laws enacted to restrict the import of grain, particularly wheat, with the aim of protecting domestic agriculture from foreign competition and ensuring food security. These laws imposed tariffs and quotas on imported grain, making foreign grain more expensive and thereby supporting higher prices for domestically produced grain.
- ▶ Ricardo vehemently opposed the Corn Laws for several reasons:
- ▶ **Economic Inefficiency:** Ricardo argued that the Corn Laws were economically inefficient because they distorted resource allocation by artificially inflating the price of grain. This led to misallocation of resources in agriculture, as farmers were incentivized to produce less efficient crops rather than focusing on what they could produce most effectively.

- ▶ **Harm to Consumers:** Ricardo believed that the Corn Laws harmed consumers, particularly the working class and urban poor, by driving up the cost of food. Since grain was a staple food item, higher grain prices meant higher overall living costs for ordinary people, leading to increased hardship and poverty.
- ▶ **Retaliation and Trade:** Ricardo also warned that protectionist measures like the Corn Laws could provoke retaliation from other countries, leading to trade wars and reduced international trade. He believed in the benefits of free trade and argued that allowing the import of cheaper foreign grain would benefit consumers and promote economic efficiency.
- ▶ **Ricardo's Theory of Comparative Advantage:** Ricardo's opposition to the Corn Laws was also informed by his theory of comparative advantage. He argued that even if Britain could produce grain domestically, it might still be beneficial to import it from other countries where it could be produced more efficiently. By specializing in industries where it had a comparative advantage and trading for goods it produced less efficiently, Britain could maximize overall economic welfare.

Ricardians and the anti-Ricardo reaction

- ▶ Ricardians are followers or proponents of the economic theories developed by David Ricardo, particularly those outlined in his seminal work, "Principles of Political Economy and Taxation" (1817). They adhere to Ricardo's key ideas such as the labor theory of value, comparative advantage, and the benefits of free trade.
- ▶ Ricardians view Ricardo's contributions as foundational to understanding economic principles, particularly in the realms of international trade, distribution of income, and the role of government in economic affairs.
- ▶ They emphasize the importance of Ricardo's insights in shaping modern economic thought and continue to apply his theories to analyze contemporary economic issues.

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- ▶ The anti-Ricardo reaction refers to the criticism and opposition that emerged against Ricardo's economic theories, particularly in the years following the publication of his works.
 - ▶ Some economists, such as Thomas Malthus and Karl Marx, offered critiques of Ricardo's ideas, challenging aspects of his theories such as the labor theory of value and his views on the distribution of income.
 - ▶ Malthus, for instance, criticized Ricardo's prediction of a long-term tendency of profits to decline due to diminishing returns in agriculture, arguing that population growth could counteract this trend.
 - ▶ Marx, while acknowledging Ricardo's contributions, developed his own economic framework, known as Marxism, which incorporated elements of Ricardo's analysis while also introducing new concepts such as the theory of surplus value and the role of class struggle in shaping economic dynamics.
 - ▶ Additionally, opponents of Ricardo's advocacy for free trade, such as supporters of protectionist policies like the Corn Laws, challenged his arguments and sought to discredit his views on international trade and tariffs.